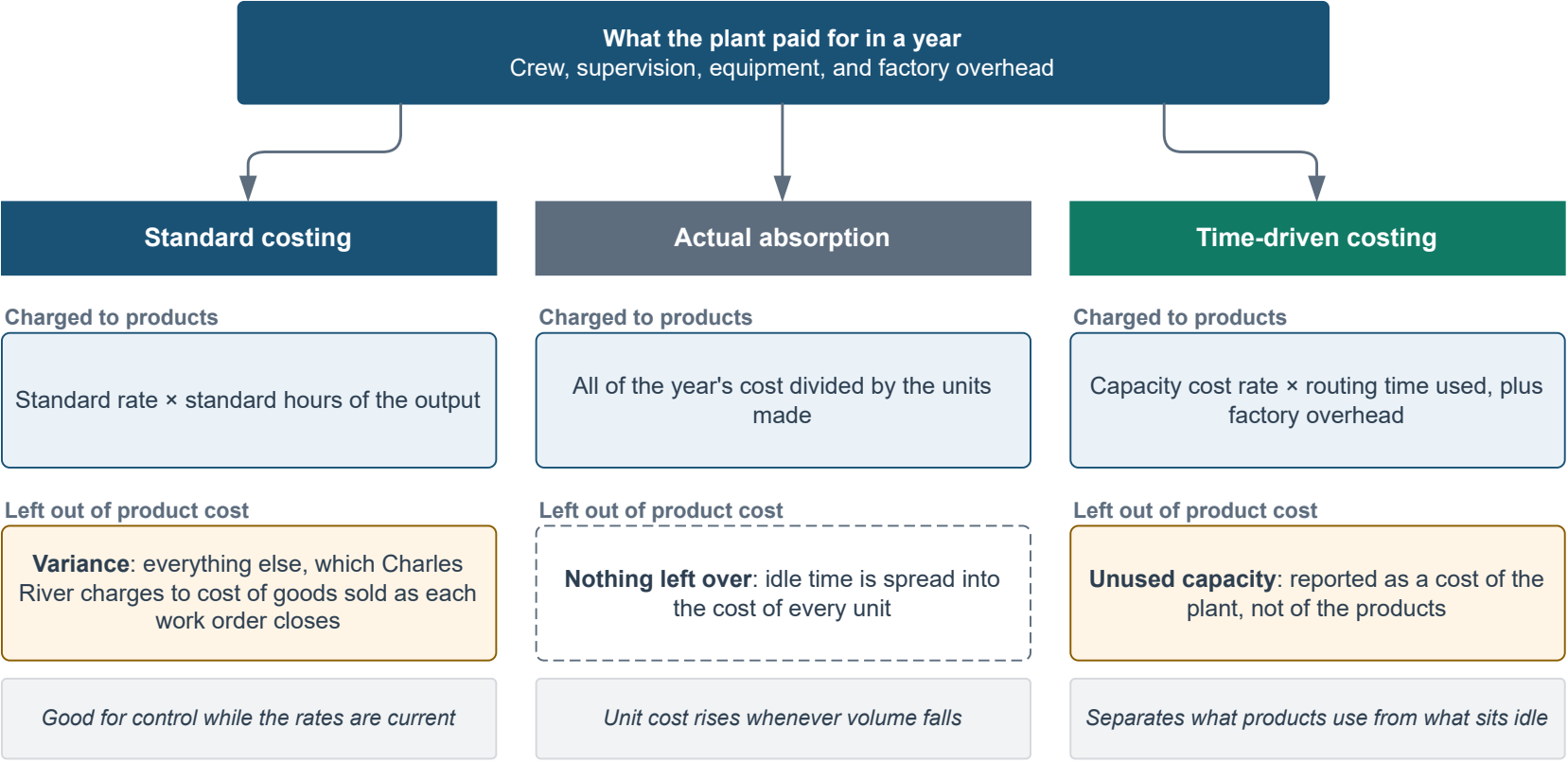

What the plant paid for in a year
Crew, supervision, equipment, and factory overhead
Standard costing
Actual absorption
Time-driven costing
Charged to products
Standard rate × standard hours of the output
Charged to products
All of the year's cost divided by the units made
Charged to products
Capacity cost rate × routing time used, plus factory overhead
Left out of product cost
Variance: everything else, which Charles River charges to cost of goods sold as each work order closes
Left out of product cost
Nothing left over: idle time is spread into the cost of every unit
Left out of product cost
Unused capacity: reported as a cost of the plant, not of the products
Good for control while the rates are current
Unit cost rises whenever volume falls
Separates what products use from what sits idle